CHAPTER FIVE

THE ORGANIZING FUNCTION

5.1. Concept of Organizing and Organization

Organizing

Koontz and O'Donnel define organizing as "the grouping of activities necessary to attain objectives, the assignment of each grouping to a manager with authority necessary to supervise it, and the provision for co-ordination horizontally and vertically in the enterprise structure".

According to **Haimann**, "Organizing is the process of defining and grouping the activities of the enterprise and establishing the authority relationships among them".

Organization

William Scott has defined organization as, "organizations are collection of people that have been established for the pursuit of relatively specific objectives on a more or less on continuous basis".

Mc. Farland, "an identified group of people contributing their efforts towards the attainment of goals is called an organization".

Jones D. Mooney, "organization is the form of every human association for the attainment of a common purpose".

The organizing function involves the following sub functions:

1. Identification of activities required for the achievement of objectives and implementation of plans.
2. Grouping of activities based on similarity of jobs so as to create self-contained jobs.
4. Assignment of jobs to employees.
5. Delegation of authority so as to enable them to perform their jobs and to command the resources needed for their performance.
6. Establishment of a net-work of coordinating relationships.

Steps in organizing process

1. Reviewing of objectives to be accomplished

Objectives are the most important things in organizing and organization as they affect the results of organization so it is necessary to review objectives to be accomplished.

2. Determining tasks necessary to accomplish objectives

After objectives are reviewed the next activity is to list down activities necessary to accomplish the objectives e.g., advertising, training, sales, budgeting, assembling

3. Grouping of activities according to their similarities to form department

In this step management classifies and group activities using the guide lines of homogeneity or similarity of activities. Work that is similar in nature is placed together to achieve organizational objectives. E.g. Sales, Accounting, Advertisement, Budget, Hiring workers, Training etc.

4. Assigning work and delegating authorities

Managers have to assign individuals different tasks and make them authorize of their activities to enable them perform their job assignments

5. Hierarchical relationship development

This step requires the determination of both vertical and horizontal operating relationships of organization as a whole.

The result of the organizing process is an organization in a predetermined manner to achieve a common goal

5.2. Formal and Informal Organizations

The organization can be classified on the basis of authority and responsibility assigned to the personnel and the relationship with each other. In this way, an organization can be either formal or informal.

A. Formal organization is the official organizational structure created by management. It is organization formed purposefully to achieve well defined and formal objectives.

B. Informal organization is the network of personnel and social relationships that arises spontaneously as people associate with one another in a work environment. It is natural grouping of people in the work situation based on their behavioral patterns, interests, beliefs, objective etc.

Formal organization

The formal organization represents the classification of activities within the enterprise, indicates who reports to whom and explains the vertical communication which connects the chief executive to the ordinary workers. In other words, an organizational structure clearly defines the duties, responsibilities, authority and relationships as prescribed by the top management.

In an organization, each and every person is assigned the duties and given the required amount of authority and responsibility to carry out this job. It creates the co-ordination of activities of every person to achieve the common objectives. It indirectly induces the worker to work most efficiently. The inter-relationship of staff members can be shown in the organization chart and manuals under formal organization.

Characteristics of formal organization

The important characteristics of a formal organization are given below

1. It is properly planned
2. It is based on delegated authority.
3. It is deliberately impersonal
4. The responsibility and accountability at all levels of organization should be clearly defined.
5. Organizational charts are usually drawn
6. Unity of command is normally maintained
7. It provides for division of labor.

Advantages of formal organization

1. The definite boundaries of each worker are clearly fixed. It automatically reduces conflict among the workers. The entire building is kept under control
2. Overlapping of responsibility is easily avoided. The gaps between the responsibilities of the employees are filled up.
3. Buck passing is very difficult under the formal organization normally exact standards of performance are established under formal organization. It results in the motivating of employees.
4. A sense of security arises from classification of the task.
5. There is no chance for favoritism in evaluation and placement of the employee.

6. It makes the organization less dependent on one man. Keith Davis observes that formal organization is and should be our paramount organization type as a general rule. It is the pinnacle of man's achievement in a disorganized society. It is man's orderly, conscious and intelligent creation for human benefit.

Arguments Against formal organization

1. Sometimes authority is used for the sake of convenience of the employee without considering the need for using the authority.
2. It does not consider the sentiments and values of the employees in the social organization
3. The formal organization may reduce the speed of informal communication

Informal organization

Informal organization is an organizational structure which establishes the relationship on the basis of the likes and dislikes of officers without considering the rules, regulations and procedures. These types of relationships are not recognized by officers but only felt, the friendship. Mutual understanding and confidence are some of the reasons for existing informal organization, for example, a salesman receives orders or instructions directly from the sales manager instead of thE supervisor. The informal organization relationship exists under the formal organization also. The informal organization relationship or informal relations give a greater job satisfaction and result in maximum production.

According to C.J Bernard, "informal organization brings cohesiveness to formal organization. It brings to the members of a formal organization a feeling of belonging, status of self-respect and gregarious satisfaction. Informal organizations are important means of maintain the personality of the individual gain’s certain effects of formal origination which tend to disintegrate personality." of the individual against certain effects of formal organization which tend to disintegrate personality."

Characteristics of Informal organization

1. Informal organization arises without any external cause i.e. voluntarily.
2. It is a social structure formed to meet personal needs.
3. Informal organization has no place in the organization chart
4. It acts as an agency of social control.

5. Informal organization can be found on all levels of organization within the managerial hierarchy.
6. The rules and traditions of informal organization are not written but are commonly followed.
7. Informal organization develops from habits, conduct, customers and behavior of social groups.
8. Informal organization is one of the parts of total organization
9. There is no structure and definiteness to the informal organization.

Advantages of informal organization

The advantages of informal organizations are briefly explained below

1. It fills up the gaps and deficiency of the formal organization
2. Informal organization gives satisfaction to the workers and maintains the stability of the work.
3. It is a useful channel of communication
4. The presence of informal organization encourages the executives to plan the work correctly and act accordingly.
5. The informal organization also fills up the gaps among the abilities of the managers.

Disadvantages of informal organization

The disadvantages of informal organization are summarized below:

1. It has the nature of upsetting the morality of the workers.
2. It acts according to mob psychology.
3. Sometimes informal organization indirectly reduces the efforts of management to promote greater productivity.
4. It spreads rumor among the workers regarding the functioning of the organization unnecessarily.

Formal organization	***Informal organization***
1. It arises due to delegation of authority	It arises due to social interaction of people
2. It gives importance to terms of authority and functions.	It gives importance to people and their relationships.
3. It is created deliberately.	It is spontaneous and natural
4. The formal authority is attached to a position	The informal authority is attached to a person.
5. Rules, duties and responsibilities of workers are given in writing	No such written rules and duties followed in informal organization
6. Formal organization comes from outsiders who are superior in the line of organization.	Informal organization comes from those persons who are objects of its control.
7. Formal authority flows from upwards to downwards.	Informal authority flows upwards to downwards or horizontally.
8. Formal organization may grow to maximum size	Informal organization tends to remain smaller.
9. It is created for technological purposes.	It arises from man's quest for social satisfaction
10. Formal organization is permanent and stable.	There is no such permanent nature and stability

Even though informal organization is not established officially it exists and it is there always in the formal organization. It may affect the formal organization positively or negatively and management should recognize that informal organization exist in the formal organization; for the benefit of the formal organization.

Informal organizations have some characteristics

i. Group norms-are unwritten laws that govern the behavior of members of the informal organization
ii. Group cohesiveness: - the members of informal organization are stick together
iii. Group leadership: - informal organization has a leader, i.e., the informal leader, this person is the most active one from among the others
iv. Communication network. The organization has communication network called grapevine.
v. Don't have boundary: - informal organization cut across the entire formal organization without following chain of command so managers can also be members of the informal group.

Informal and formal organization compared

1. Informal organization emphasizes on people and their relationships whereas the formal organization emphasizes on formal organizational positions
2. The coverage or power of effectiveness in informal organization is informal power that attached to the individual. In the formal organization the formal authority comes directly from the positions and person has it only when occupying that position
3. Formal organizations may grow to be extremely large, but informal organizations tend to remain smaller in order to maintain the personal relationships as a result large organization contains a number of informal original

Impacts of the informal organization

The informal organization can affect the organization positively and negatively.

Positive impact

Informal organization can provide some benefits to formal organization

- Support management: - sometimes in providing advices, generate new ideas in performing activities to attain organizational objectives.
- Creates stability in the work environment since workers have their own group to satisfy their needs they tend to work for long period of time in the organization. Informal groups increasing starlet decreasing turnover.
- Provides channels of communication: - individuals who are new for the organization can easily be informed about the organization through informal organization members.

Encourages development of management, managers can develop their ability of leading because they may participate in leading of informal organizations besides formal organization

Negative impact

Creates Conflicts: - most of the times members of the informal organization may conflict with their formal boss while they are trying to satisfy their informal leader.

Change resistance: - sometimes management may want to change operational systems. But informal group may not agree to adopt the changes.

Can expand rumor and false information: - informal organization may of compurgation inch is informal so the degree of passing mere gossips and incorrect information may be high.

How to work with informal organization

Management should not attempt to eliminate informal organization as it is impossible to eliminate it. Rather they have to make use of informal organization for the benefit of formal organization.

Managers should consider the following factors to use informal groups.

- ✓ Realize the existence of informal groups
- ✓ Identify the roles of members in each informal group
- ✓ Use information to work with informal groups

5.3. Organization Chart

Organization Chart- is graphic illustration of the organization's management hierarchy and departments and their working relationships. Each box indicates position within the organization and each line indicates reporting relationships and lines of communication.

Fig 5.1 organizational chart

Organizational chart remains useful because it provides different important information regarding;

- ✓ Who reports to whom- that, chain of command.
- ✓ Span of control- how many subordinates does a manager have
- ✓ Channels of formal communication shown by solid lines that connect each job(box)
- ✓ Bases of departmentalization- how organization is departmentalized by function, customer, or product, geographical etc
- ✓ Activities in each position- The labels in boxes describe each individual ‘s activities
- ✓ The hierarchy of decision making - where the decision maker for a problem is located
- ✓ authority relationships- solid connections between boxes illustrate line authority, Zigzag lines show staff authority, and broken line show functional authority

Limitation of Organizational Chart

Organizational chart has some limitations since it doesn’t show

- informal communication channel
- Informal relationship among workers

5.4. Departmentalization: Meaning and Bases

Departmentalization; is grouping of related activities into units. After reviewing the plans, usually the first step in the organizing process is departmentalization. Once jobs have been classified through work specialization, they are grouped so those common tasks can be coordinated. Similar activities intimately related with a distinct function are grouped together to form departments.

-It aims at achieving unity of direction, effective communication, coordination and control.

Bases of Departmentalization

There are some bases for departmentalization but there is no one best way to departmentalize the activities and the choice of departmentalization depends on the needs of the organization. The major bases of departmentalization include: function, Product, customer, and territory.

Functional departmentalization-Functional departmentalization involves organizing departments around essential input activities, such as production, marketing and finance, which are managerial or technological functions. The functions reflect the nature of the business. The

advantage of this type of grouping is obtaining efficiencies from consolidating similar specialties and people with common skills, knowledge and orientations together in common units.

Product Departmentalization- product departmentalization involves organizing departments around products or services. Companies with multiple products commonly use product departmentalization. Each department may become self-contained company, making and selling its own products. It assembles all functions needed to make and market a particular product are placed under one executive. For instance, major department stores are structured around product groups such as home accessories, appliances, women's clothing, men's clothing, and children's clothing.

Customer Departmentalization- Customer departmentalization involves organizing departments around needs of different types of customers. It is grouping of activities and responsibilities in departments based on the needs of specific customer groups. For instance, a plumbing firm may group its work according to whether it is serving private sector, public sector, government, or not-for-profit organizations.

A current departmentalization trend is to structure work according to customer, using **cross-functional teams**. This group is chosen from different functions to work together across various departments to interdependently create new products or services. For example, a cross-functional team consisting of managers from accounting, finance, and marketing is created to prepare a technology plan.

Territory (Geographic) Departmentalization- Involves grouping of activities and responsibilities according to territory. All activities in a geographic area are assigned to a particular manager. For example, Merck, a major pharmaceutical company, has its domestic sales departmentalized by regions such as Northeast, Southeast, Midwest, Southwest, and Northwest.

Departmentalization by process groups jobs on the basis of product or customer flow. Each process requires particular skills and offers a basis for homogeneous categorizing of work activities. A patient preparing for an operation would first engage in preliminary diagnostic tests, then go through the admitting process, undergo a procedure in surgery, receive post operative

care, be discharged and perhaps receive out-patient attention. These services are each administered by different departments.

Matrix departmentalization- is departmentalization that combines the functional and product structures. With matrix departmentalization, the employee works for a functional department and is also assigned to one or more products or projects. The major advantage of matrix departmentalization is flexibility. The major disadvantage is that each employee has two bosses a functional boss and a project boss-conflict can result when two people give orders.

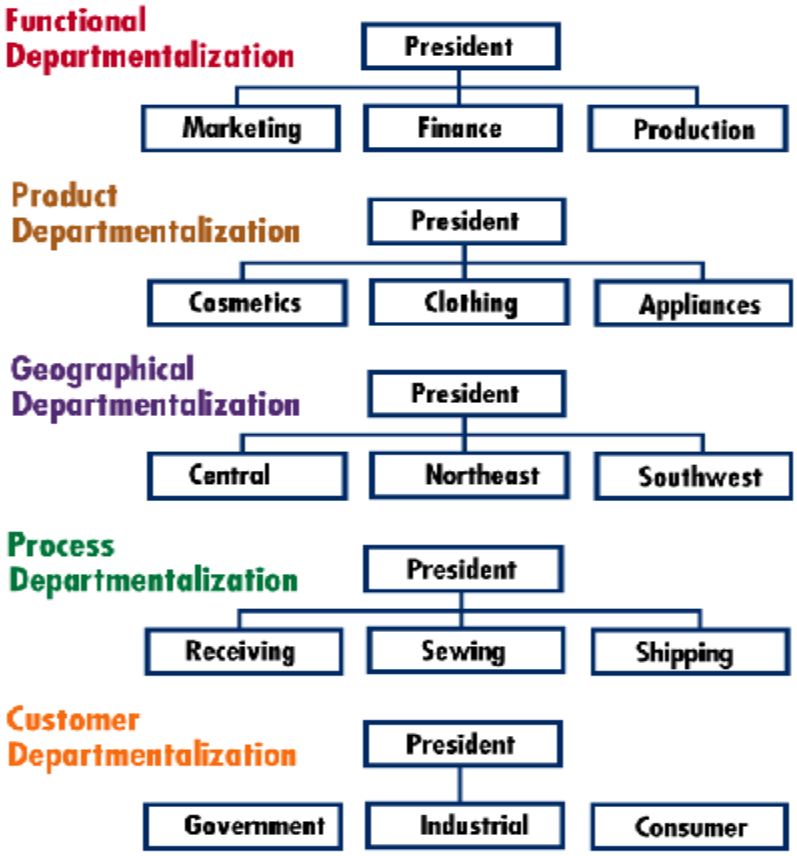

Fig 5.2 Departmentalization

5.5. Span of Management (span of control)

Span of control refers to the number of employees reporting to manger, in other words, the number of subordinates a manger directly supervises. No fixed number of subordinates is there to be supervised by a single manger; the number depends on different actions which include perplexity (puzzlement).

1. **Complexity and variety of subordinates' job**: - if subordinates are dealing with complex and many jobs, they will contact with managers frequently to get more assistance, so for manger to give assistance to subordinates they need to lead only few subordinates
2. **Ability and competence of mangers**: - if mangers are capable of grasping problems easily and finding solutions for problems quickly then they can supervise a greater number of subordinates.
3. **Managers willingness to delegate authority**: - if mangers are permissible or willing to delegate authority, they can manage or supervise many numbers of subordinate
4. **The geographic location of organizational departments**: - if the departments are located in one-area mangers can control many numbers of subordinates otherwise few subordinates are advised.

Wide and narrow spans of control

Based on the numbers of subordinates supervised by mangers in organizational departments, span of control can be classified as wide and narrow span of control.

Wide span of control: -span of control in which as many as 10 or 15 people may report to the same person, results in a flat organization structure.

- ✓ If the number of subordinates is many it is wide span of control.

A narrow span of control: - span of control in a tall organizational structure.

- ✓ If number of subordinates is few it is narrow span of control nearly, but not always real, if number of subordinates is if it is <10. It is narrow span of control.

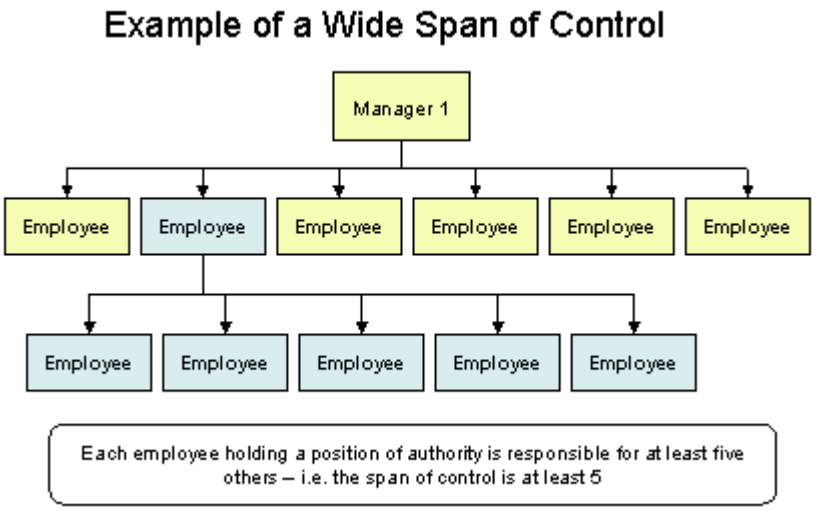

Fig 5.3 Wide span of control

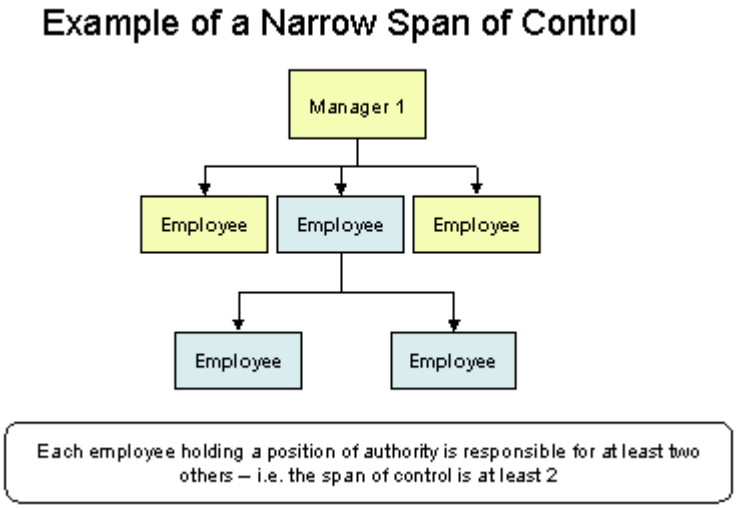

Fig 5.4 Narrow span of control

5.6. Authority and power and their sources

Organizational structure is a means of facilitating the achievement of organizational objectives. Such structures are not static, but dynamic. They reorganize in response to changing conditions that occur in the environment, new technology, or organizational growth. Organization structures are dependent upon the employees whose activities they guide. Supervisors rely upon power and authority to ensure that employees

Authority

Authority is the formal and legitimate right of a manger to make decisions, give orders, and allocate resources, is the right to command.

The organizational structure provides the framework for the formal distribution of authority. **Formalization** is the degree to which tasks are standardized and rules and regulations govern employee behavior. It influences the amount of discretion an employee has over his or her job. In an organization with high degrees of formalization, job descriptions and policies provide clear direction. Where formalization is low, employees have a great deal of freedom in deciding how thy conduct their work. Within the same organization, different departments may have different degrees of formalization. For example, in a hospital, doctors have freedom in selecting treatments, drugs, and methods for treating patients. However, the hospital physical plant staff has a strict schedule for cleaning buildings, mowing lawns, and maintaining the facilities

Source of authority-comes with the territory, "making that authority is legal right of manager because of the position he or she occupies in the organization. Thus, authority is defined in each mangers job charter. The person who occupies a position has his/her formal authority as long as he or she remains in that position. As the job changes in scope and complexity, the amount and kind of formal authority possessed should be changed.

Types of authority

In an organization three different types of authorities are created by the relationships between individuals and departments.

i. Line authority – defines the relationship between superior and subordinates. Any manager who supervises operating employees or other manger has line authority. It allows mangers to give direct orders, evaluate the actions, reward and punish employees. It is responsible to make decisions and issue orders down the chain of command.

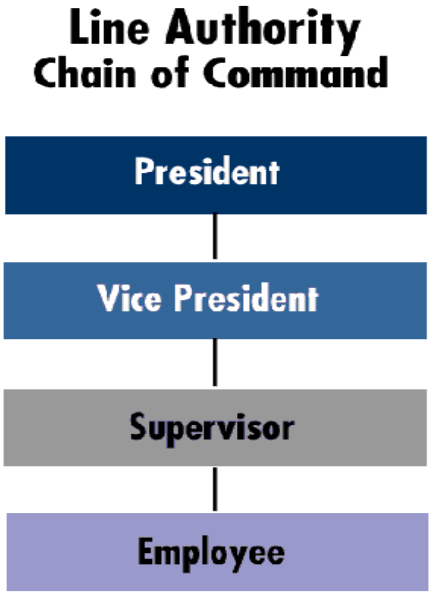

Fig 5.5 Line Authority Chain of Command

ii. Staff authority- is the authority to serve in an advisory capacity: - managers who provide advice or technical assistance are granted advisory authority.

This staff or advisory authority provides no basis for direct control over the subordinates or activities of other departments; however, with in the staff managers own department, he or she can exercise line authority. Staff authority done in the form of advice/ assistance flows upward to

the decision maker. **Staff authority** is more limited authority to advice. It is authority that is based on expertise and which usually involves advising line managers. Staff members are advisers and counselors who aid line departments in making decisions but do not have the authority to make final decisions. Staff supervisors help line departments decide what to do and how to do it. They coordinate and provide technical assistance or advice to all advisors, such as accounting, human resources, information technology, research, advertising, public relations, and legal services.

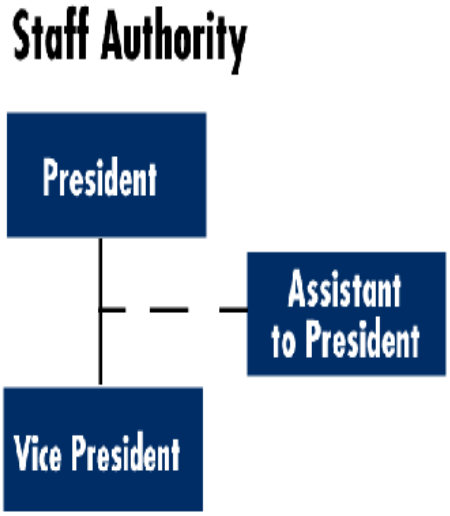

Fig 5.6 Staff Authority

Staff authorities are responsible to advise and assist other personnel.

Functional authority; is an authority which permits staff mangers make decision on specific activities performed by employees with in other departments. Staff departments often use functional authority to control their procedures in other departments.

- ✓ Is the right of staff personnel to issue orders to line personnel in established areas of responsibility?
- ✓ Ex. The maintenance department assists production by keeping the operating activity. If the maintenance determines that a machine is unsafe, the department may issue an order to line manger to use the machine, but it cannot suggest which products are produced

Responsibility and Accountability

Equally important to authority is the idea that when an employee is given responsibility for a job, he or she must also be given the degree of authority necessary to carry it out. Thus, for effective delegation, the authority granted to an employee must equal the assigned responsibility. Upon accepting the delegated task, the employee has incurred an obligation to perform the assigned work and to properly utilize the granted authority. **Responsibility** is the obligation to do assigned tasks. The individual employee is responsible for being proficient at his or her job. The supervisor is responsible for what employees do or fail to do, as well as for the resources under their control. Thus, responsibility is an integral part of a supervisor's authority.

Responsibilities fall into two categories: individual and organizational. Employees have individual responsibilities to be proficient in their job. They are responsible for their actions. Nobody gives or delegates individual responsibilities. Employees assume them when they accept a position in the organization. Organizational responsibilities refer to collective organizational accountability and include how well departments perform their work. For example, the supervisor is responsible for all the tasks assigned to his or her department, as directed by the manager.

When someone is responsible for something, he or she is liable, or accountable to a superior, for the outcome. Thus, accountability flows upward in the organization. All are held accountable for their personal, individual conduct. **Accountability** is answering for the result of one's actions or omissions. It is the reckoning, wherein one answers for his or her actions and accepts the consequences, good or bad. Accountability establishes reasons, motives and importance for actions in the eyes of managers and employees alike. Accountability is the final act in the establishment of one's credibility. It is important to remember that accountability results in rewards for good performance, as well as discipline for poor performance.

Power and Its Sources

Power is ability to exert influence in the organization. **Power** is the ability to exert influence in the organization beyond authority, which is derived from position. In addition to authority; supervisors have more personal sources of power to draw upon for getting things done. Everyone has power in one form or another and it is by exercising this power that organizations get things accomplished. Supervisors who are capable of achieving their objectives independently of others are said to possess strength. When these "strong" supervisors involve and incorporate others into

their plans and activities they are making use of power, and in fact increasing the total amount of power available to incorporate into a particular situation or problem. Involving employees in setting objectives and making decisions as it relates to their jobs empowers everyone, and results in greater job satisfaction and commitment, as well as increased productivity. Empowering employees provides them with greater autonomy. It is ability to influence others' behavior.

Power can be positional and personal.

Position power is derived from top management and is delegated down the chain of command.

Personal power is derived from the follower based on the individual behavior.

* A person does not need to be manager to have power. Some administrative assistants of top managers have considerable power, but no authority. Manager can a acquire power from several different sources, based on these sources power can be:

Fig 5.7 Source of Power

(i). ***Legitimate or position power*** – The power possessed by manger and derived from the positions they occupy in the formal organization. . This position power is broader than the ability to reward and punish, as members need to accept the authority of the position

(ii) ***Reward power-*** The power that comes from the ability to promise or grant rewards. Mangers have the ability to decide on raises, promotion favorable performance appraisals, and preferred work shifts. **Reward power** results in people doing what is asked because they desire positive benefits or rewards. Rewards can be anything a person values (praise, raises, and promotions)

(iii) ***Coercive power*** – is a power which enables mangers to force individuals to attain their work assignments or to punish those workers who failed to attain their job assignments. **Coercive power** is the threat of sanctions. It is dependent on fear and includes, but is not limited to the ability to dismiss, assign undesirable work, or restriction of movement. The punishment may include; demotion, *terminating employment etc*

(iv) Referent (charismatic) power – is the power that is based on the kind of personality or charisma an individual has and how others perceive it. **Referent power** refers to a person who has desirable resources or personal traits. It results in admiration and the desire to emulate. It is the power obtained from the attitude of people toward someone or from idea that one has on himself.

(iv). Expert Power- is power derived from an individual's knowledge and expertise. Others listen to and follow the person with expert power because she/he is regarded as capable and knows how to do things right. Employees with expert power are often promoted to management.

5.7. Delegation, Centralization and Decentralization

Delegation

Delegation is the process of assigning authority and creating obligation to accomplish objectives.

- ✓ Is the down ward transfer of formal authority from one person to another

Process of Delegation

Delegation- involves some activities which include

1. **Assignment of Tasks-** identifying tasks to be performed and assign the tasks to subordinates. It is a primary activity in delegation of authorities.
2. **Delegation of Authority-** Once tasks are assigned, employees should be given as much authority as possible which enable them to make decision regarding their job assignments.
3. **Creation of Obligation-** Managers have to create accountability with subordinates for fair use of authority and effective performances of activities.
4. **Establishment of Control System-** The fourth step in delegation process is establishing adequate control system for evaluating the results of delegation. Because the delegated manager is responsible for the performance of his subordinates. S/he has to evaluate their progress from time to time to ensure that authority is utilized effectively for right purpose. Delegation is an integral component of the organizing process. Since a manager is responsible for the performance of such a large variety of

tasks, activities and functions that s/he cannot perform them all by him/her self. S/he assigns a part of his/her work to his/her subordinates.

Merits of delegation

- ✓ It freed managers from routine activities and enables them to focus on critical ones.
- ✓ It acts as a tool of development and motivation of employees.
- ✓ It is means of pushing down decision to lower level so decisions are likely to be timelier as well as realistic.

Obstacles to Delegations

- ✓ Managers believe that they can do better decisions
- ✓ Managers are afraid of losing importance
- ✓ Some managers do not know how or what to delegate
- ✓ Subordinates lack confidence in their activities etc.

Centralization and decentralization

Centralization is a philosophy of management that focuses on systematical retaining of authority in the hand of higher-level managers. I.e., it is the degree to which decision-making is concentrated in top management's hands.

Decentralization is a philosophy of management that focuses on systematical delegation of authority throughout the organization to middle and lower-level managers; is the extent to which decision-making authority is pushed down the organization structure and shared with many lower-level employees.

If authority is decentralized:

- ➢ Greater number of decisions will be made at lower level
- ➢ Important decisions are made at lower level, and subordinates will refer less their superiors to make decisions.

The reverse is true if authority is centralized.

In centralization decision making criteria are limited to top level management. But In decentralization are delegated to lower level. Centralized organizations have more levels of management with narrow spans of control. Employees are not free to make decisions. Decentralized organizations have fewer levels of management with wide spans of control giving employees more freedom of action. All other things being equal, a wide span of control is more

efficient because it requires fewer managers. However, it is important to recognize that, at some point, effectiveness will decline.

The current trend is toward broadening decentralization. As competition intensifies the need for organizations to be responsive increases. This has made employees, usually those at the lower levels, who are closest to customers extremely important. They are an excellent source of knowledge and implement changes that directly impact performance. Giving this group more input into certain decision-making activities can result in increased firm performance. Generally; tall organization structures are more of centralized. Flat organizations Structures are more of decentralize.

Committees

Committee is a group of members that represents functional areas of expertise. It is best example of formal group

The primary function of committee is to make or suggest decisions on problems requiring integration of different departments.

Types of committees

Generally, committees can be **ad hoc** or **standing**

i. **Ad-hoc committees**: - are those formed for a particular purpose. If the objectives are for which they are established have been met, they are disbanded (dispersed). They are temporary.

ii. **Standing committee-** are permanent in nature. They are not disbanded. In large organizations they often take the form of finance committees and personnel committee and there is always enough work to justify their existence.